



P Principal

Balance on the loan—the actual amount owed.

As the interest portion of the mortgage payment decreases, more of the payment is applied to principal.



I Interest

Interest is the “fee” paid back to the lender for the use of their money. The interest portion of the payment generally decreases over the life of the mortgage.



T Taxes

This portion includes property taxes, which is the cost of public services divided by the value of property for the area.

I Insurance

This may include mortgage, home-owner’s, and/or flood insurance